Nirman Trust-I 03 2025

Originator: IKF Home Finance Limited

June 10, 2025

Instrument[#]	Amount Rated[&] (₹ crore)	Rating[1]	Rating Action
Series A PTCs	44.35	CARE AAA (SO)	Final Rating Assigned
Equity Tranche PTCs	2.41	CARE AA (SO)	Final Rating Assigned

Details of instruments/facilities in Annexure-1.

[#]The Series A pass-through certificates (PTCs) are rated based on the timely payment of interest and the payment of principal on or before the last scheduled payout date. The Equity Tranche PTCs are rated based on ultimate interest until the Series A PTCs are outstanding and timely interest post redemption of Series A PTCs, and ultimate principal payment on or before the last scheduled payout.

[&]As of May 2025 payouts

Rationale and key rating drivers

CARE Ratings Limited (CareEdge Ratings) had assigned the rating of 'Provisional CARE AAA (SO)' [pronounced as 'Triple A (Structured Obligation)'] and 'Provisional CARE AA (SO)' [pronounced as 'Double A (Structured Obligation)'] to the Series A PTCs and Equity Tranche respectively, issued by Nirman Trust-I 03 2025, backed by a pool of home loan receivables originated by IKF Home Finance Limited (IKF).
Ratings are now confirmed and 'CARE AAA (SO)' [pronounced as 'Triple A (Structured Obligation)'] has been assigned to the Series A PTCs and 'CARE AA (SO)' [pronounced as 'Double A (Structured Obligation)'] has been assigned to the Equity Tranche PTCs.

The above ratings were final based on the below-mentioned documents submitted to the satisfaction of CareEdge Ratings:

a. Accounts greement
b. Assignment agreement
c. Servicing agreement
d. Trust deed
e. Information memorandum
f. Power of attorney
g. Legal opinion from an independent legal counsel
h. KYC audit report

Rating sensitivities: Factors likely to lead to rating actions

For Series A PTCs:

None

For Equity Tranche PTCs:

- Delinquencies (90+ days past due [DPD] as % of initial principal outstanding [POS]) of less than 2% and the sustained high collection efficiency (cumulative collection efficiency of over 98%).
- Build-up of cash collateral (CC) of over 2x the initial proposed (as a percentage of the balance POS).

Negative factors - Factors that could, individually or collectively, lead to negative rating action/downgrade:

- Delinquencies (90+ DPD) of over 5% and the sustained lower collection efficiency (cumulative collection efficiency of less than 90%).
- Deterioration in the credit profile of the originator.
- Utilisation of CC.
- Non-adherence to key transaction terms envisaged at the time of the rating.

Analytical approach

The final rating is based on conformity of the executed transaction documents with proposed structure of the transaction. The rating also factors inter alia, analysis of underlying pool of receivables, expected performance of the pool, performance of originator's portfolio, and transaction structure including the proposed credit enhancement.

[1]Complete definition of ratings assigned are available at www.careratings.com and other CARE Ratings Limited's publications.

Detailed description of key rating drivers

Ratings assigned are finalised based on the structure provided to CareEdge Ratings by IKFHF, the originator. Ratings have been confirmed after copies of the legal documents executed in accordance with the structure, a due-diligence audit report by an external auditor, and an independent legal opinion was furnished by the originator (IKFHF), to the satisfaction of CareEdge Ratings.

Key strengths:

- The robustness of transaction structure and well-defined payment mechanism.
- Credit enhancement comprising CC, subordinated equity tranche, and excess interest spread.
- No overdue contracts as on the pool cut-off date; all contracts are ever current as on the pool cut-off date.
- Underwriting policies and collection capabilities of IKFHF.
- High-weighted average seasoning (based on EMI's paid) of ~24 months with amortisation of ~8% as of pool cut-off date.

Key weakness:

- High concentration with the top three states accounted for 83% of the pool.

Liquidity: Strong

For Series A PTCs and Equity Tranche PTCs: Strong

The inherent liquidity in the structure is strong. The interest payouts for Series A PTCs are promised monthly, and post redemption of Series A PTCs, the interest payouts for Equity Tranche PTCs are also promised monthly while the principal of Series A PTCs and Equity Tranche PTCs is promised to be paid by final legal maturity. In case of delinquency, the payouts are expected to be supported by credit enhancement consisting of CC, principal subordination in the form of subordinated equity tranche (For Series A PTCs), and EIS.

Key rating assumptions and adequacy of credit enhancement

CareEdge Ratings has analysed the transaction to assess whether the CE is sufficient to cover the shortfalls. Since the transaction is sensitive to the credit quality of the underlying pool, CareEdge Ratings has analysed the performance of static pools provided by the originator and the overall portfolio performance of the originator. Considering the borrower profile, nature of the loan, pool characteristics, and portfolio performance, CareEdge Ratings has taken the average shortfall at 4.00%-5.00% of the POS. The base case shortfalls were stressed along with other key factors, such as the timing of shortfalls, the recovery assumptions, and the time to recovery. The pool cash flow has been further adjusted for prepayments of underlying loans, assuming monthly prepayments in the range of 0.50%-1.00%. CareEdge Ratings has stipulated credit enhancement which is commensurate with credit rating of the PTCs.

Key risks, concerns, and mitigants:

The securitisation transaction involves several risks, including credit risk from borrower defaults, commingling risk due to time lags in fund deposits, basis risk from differing interest rate benchmarks, prepayment risk from early principal repayments, servicer bankruptcy risk, legal risk regarding the validity of receivable transfers, and counterparty risk involving transaction parties. These risks are factored while assigning rating, wherever needed, and partially mitigated through credit enhancements, separate record-keeping, credit rating/profile of the originator, transaction structuring, true sale of receivables, legal opinion from independent legal counsel. The transaction structure also has provision to change counterparties, such as trustee and banker among others.

Applicable criteria

Policy on Default Recognition
CARE Ratings' methodology for asset/mortgage-backed securitisation

About the Originator / Servicer and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Securitisation

Incorporated in 2002 as IKF Financial Services Private Limited, IKF is registered as housing finance company (HFC) and is primarily engaged in providing home loan products/refinance solutions. The company has presence across Andhra Pradesh, Telangana, Karnataka, Tamil Nadu, Maharashtra, and Gujarat. IKFHF is an experienced company in home loans and loan against property segment with over six years of experience and is active in the securitisation market with 31 outstanding pools with initial size of the live securitised pools including co-lending as of December 31, 2024, standing at ~₹400 crore.

The company was initially promoted by promoters of IKF Finance Limited. However, the company was acquired by IKF Finance Limited in December 2018. IKF Finance Ltd is the group's major asset financing company and non-deposit taking non-banking finance company (NBFC), primarily engaged in commercial vehicle, construction equipment, and SME segment financing. As on December 31, 2024, IKF Finance Limited holds 89.13% stake (on a fully diluted basis) in the company while the balance shareholding lies with the promoters.

Key financial indicators - IKFHF

Particulars	FY23 (A)	FY24 (A)	9MFY25 (P)
Total income (₹ crore)	92.61	147.73	141.28
PAT (₹ crore)	10.72	23.68	20.13
Net worth (₹ crore)	143.21	213.15	234.07
Net NPA (%)	0.59	0.56	0.75
ROTA (%)	1.96	2.90	2.30

A: Audited; P: Provisional; Note: these are latest financial results available.

Key terms of Servicer Contract:

The servicing agreement has covered role of the originator as the Collection and Payment Agent (CPA) for the special purpose vehicle (SPV) in managing collections from underlying borrowers, without informing them of the assignment. The Servicer (originator) follows its standard procedures for collections, including recovery actions, and ensures timely transfers of funds to the SPV under an M+1 payment structure. The trustee monitors the sufficiency of funds for investor payouts one day prior to payout date and utilises CC in case of shortfall. The Servicer is also submitting detailed reports on billing, collections (including prepayment), overdue amounts with aging thereof, cash flow schedules to the trustee, and such other information as may be required by the trustee. The terms of the agreement have provisions for the appointment of an alternate servicer in case of servicer event of default.

Status of non-cooperation with previous CRA: Not applicable

Any other information: Nil

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instruments/facilities: Annexure-3

Complexity level of instruments rated: Annexure-4

Lender details: Annexure-5

Annexure-1: Details of instruments/facilities:

Name of the Instrument	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Pass-through certificates	-	27-03-2025	8.50	17-02-2044	44.35	CARE AAA (SO)
Pass-through certificates	-	27-03-2025	9.50	17-02-2044	2.41	CARE AA (SO)

Annexure-2: Rating history for last three years:

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024	Date(s) and Rating(s) assigned in 2022-2023
1	Pass-through certificates	LT	44.35	CARE AAA (SO)	-	1)Provisional CARE AAA (SO) (26-Mar-25)	-	-
2	Pass-through certificates	LT	2.41	CARE AA (SO)	-	1)Provisional CARE AA (SO) (26-Mar-25)	-	-

LT- Long Term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities

Not applicable

Annexure-4: Complexity level of instruments rated

Sr. No.	Name of Instrument	Complexity Level
1.	Pass-through certificates	Highly complex

Annexure-5: Lender details

Not applicable

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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About us:
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